

patches over the last couple of years. Keeping these in mind, which would you say is the stronger engine of growth at Godrej & Boyce? The B2B businesses or the B2C businesses?

A: Well, frankly, if you ask me, I think both and more or less equally. Because if you look at penetration levels of consumer-facing industries that we are in, it's still very, very small... whether it's home appliances, furniture, etc. So, I don't see any major roadblock to increase the penetration in the consumer-facing businesses. India is a young country with greater disposable income, and we sell all over the country. And so, I don't see that as a problem area at all. In fact, I see it as a big growth engine.

As far as our industrial businesses are concerned, again, because exactly what you said, you know, the greater emphasis on manufacturing, greater emphasis on investment-led growth... there will always be a very strong market for capital goods and for intermediaries... and even as far as defence and aerospace are concerned, till very recently, when the private sector was not being encouraged to enter into that field. Recently, the defence minister made a statement that 85 per cent of India's purchases for defence and related items will be from Indian suppliers. So, I think that both areas have enormous opportunity to grow. There is no barrier as such in terms of the market.

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Q: I want to speak specifically about Godrej Aerospace because it seems like an exciting space to be in at a time when there is finally so much of opening of doors from the government to private enterprise. Are you seeing it translating into orders on the ground for companies like Godrej Aerospace?

A: Yes, I think the interest for us is mutual. The government is interested in buying more from India, the government is interested in buying more of what we do. And I think that we are interested as much in doing that. I think as long as we have a healthy relationship with the government in terms of programmes, [this is a good business to be in]. This is one business, which has a very, very long gestation [period]. So, if I get an order today, it doesn't mean you can deliver tomorrow. It takes two to three years, depending on the programme, to gear up, build knowledge and expertise in it, and to supply. So, it is a long-term business, it's a business which essentially depends on competencies, which we have, and you can only build more and more on that. And as and when the government does open up these sectors for export, I think you will see more acceleration. Take satellites, for instance. ISRO has been putting satellites in space for decades. And if you see the market for satellites, it's many hundreds of times what we are doing. Our own requirement is not being met fully. So, there is really no



“The main reason to go to the public is if you need to raise finances for your expansion and growth. I think we always had strong cash flows and adequate resources for our businesses. And we never felt the need to go public”
